



Dashboard Discussions

How to frame them, what to make of them...

Our Session Objective

Welcome, it's all about you and your business today...

- Everyone contributes to collaborative thinking.
- Planned Breaks & Housekeeping
- **My/Our Role in the Planning Session is to Challenge What You Believe To Be True!**
- **Your Role is to be Ready To Explore Issues/ Ideas With an Open Heart and an Open Mind.**
- The Objective (expectations) for Today's meeting is that we 'Discover What We've Been Missing'!
- Record what we learn.
- Build an action plan going forward.

The Category Secrets

("If you listen, what they tell you...")



If I knew the answer to x, what could I do about it?

Variable Costs

**Materials, Shipping, Stock,
Contract Labour, * Discounting, Coupon
Advertising.**

These costs relate to sales or work engagements that have been secured by agreement with a customer.

Provided your terms of engagement are sound and you actively manage the invoicing and receiving tasks of your business, this work will directly result in revenue (money) coming into your business.

These are the costs you incur on the 'promise' that you'll get paid when the work is done and delivered.

You could choose to change how you produce or provide your product or service and/ or, you could change to whom and where you sell it.

Activity Costs

Related to securing work and/or sales to customers

These costs relate to the efforts you make to secure more business.

General Marketing/ Branding (which doesn't relate to a specific call to action for a specific product - 'coupon advertising') and the cost of your salespeople being 'on the road' such as their Fuel costs, Hotel costs Flights etc are examples.

These are the costs you incur in the hope that you win more work or make more sales in future.

You could choose how you sell and distribute your product or service to make it easier for customers to find you.

Fixed Costs

The Structural Requirements to 'House' staff & serve customers

These costs relate to the tools and 'housing' of your staff.

To conduct a transaction, you either 'go to your customer' or you provide a place they can 'come to you'; either way you incur costs related to that decision.

These are the costs of 'being in business' based on how you believe things should be done.

You could choose 'how much of your customers problem you solve, in-house' and what kind of customer experience you need to provide.

Think of Your Reviews as a 3x3 Framework...

Cause - Event - Effect

What does the data relate to? - What led up to the performance/ is it typical? - What are the 'downstream' effects of the performance being measured?

Get Organised - Get the Job - Do the Job

+

Variable Costs - Activity Costs - Fixed Costs

What decisions have you made regarding how you organise yourself and your team? What drives your financial choices?

Have you calculated your (best probable) revenue potential against your key business assumptions?

Remember!

- No single ratio or report can give you the whole story.
- Always define if the data is CAUSATION, CORRELATION or COINCIDENCE.
- Always seek a balanced view; look for both 'good & bad' data.
- If you're struggling to gain clarity from a metric - ask 5 Why's to find the 'root cause'.

Seek Information;
not judgement...

Sales to Gross Profit Ratio

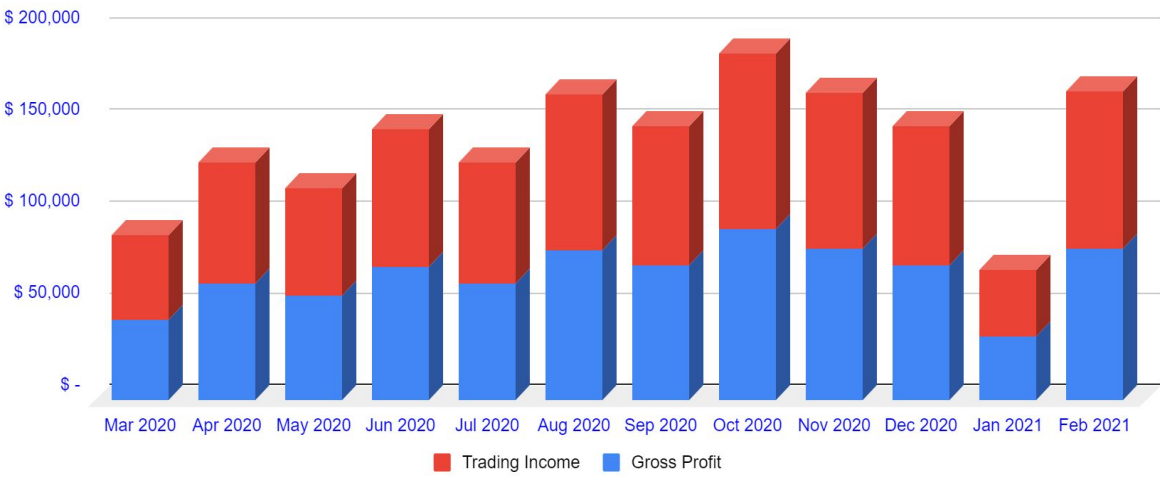
Where it relates

- Do the Job - Variable Costs
- Get the Job - Activity Costs

What it highlights
(Tactical Options)

- Purchasing, Warehousing, Logistics Efficiencies
- Project Management, Wastage/Error Reductions
- Process Improvements, Skill / Equipment Advantages
- Product 'Fit, Positioning, Packaging, Pricing, Bundling
- Message Clarity & Penetration, Market Knowledge
- Sales Effectiveness, Brand Awareness, Cust' Loyalty

Sales to Gross Profit Ratio



Is the information in the graph consistent with your previous business assumptions/ beliefs?

Yes/ No/ Not Sure / Unsure about data integrity/ Accuracy

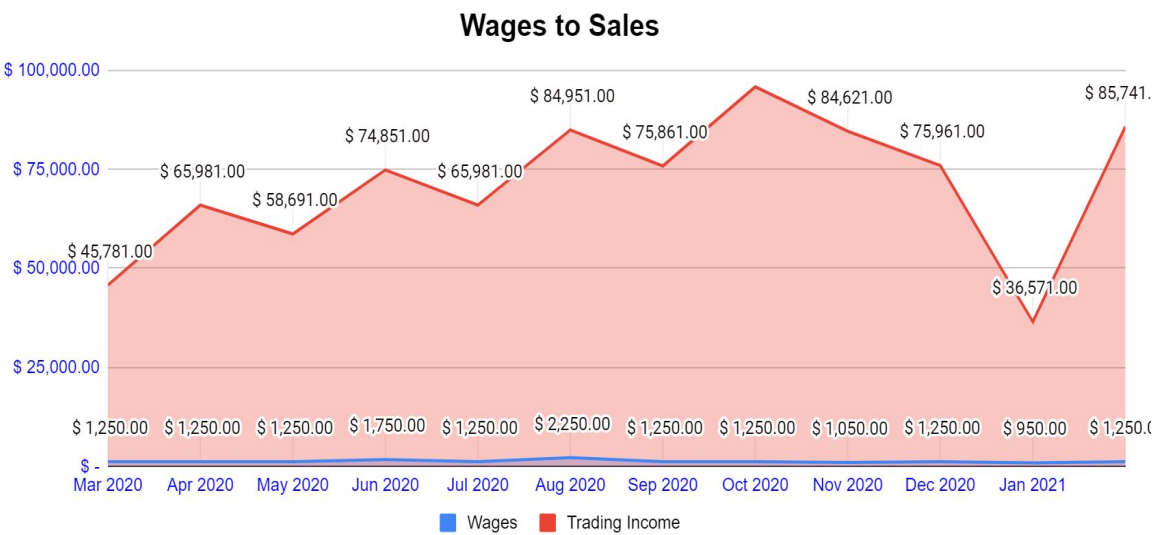
Which tactical options are of greatest influence & why?

Did you have any actions planned prior to this data? - (to deal with this)
Do they still stand?

Record your future action steps in the Action Plan Reminder (Green Box on Top Banner)

Wages to Sales Ratio

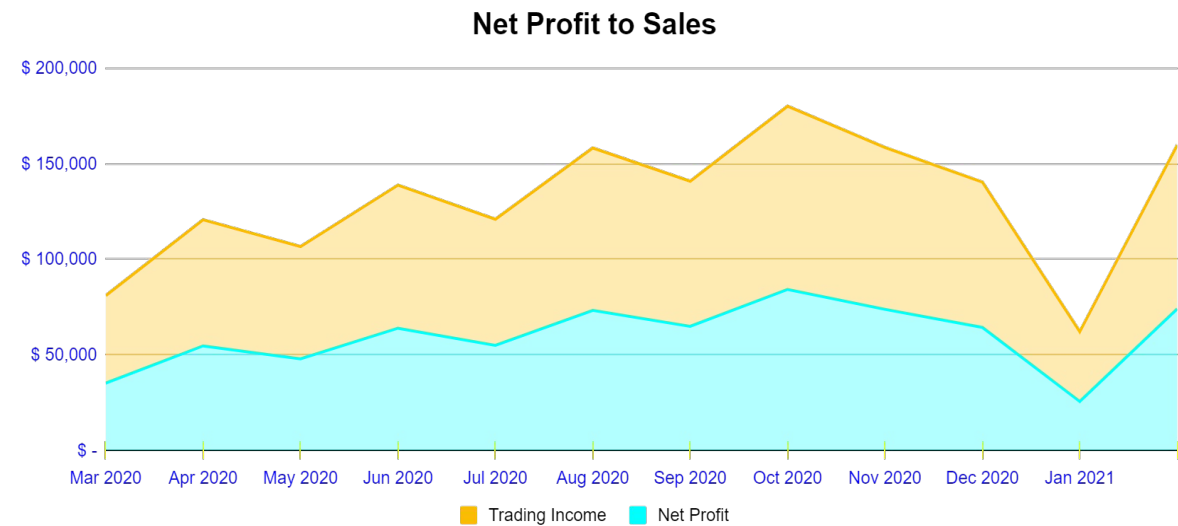
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Net Profit to Sales

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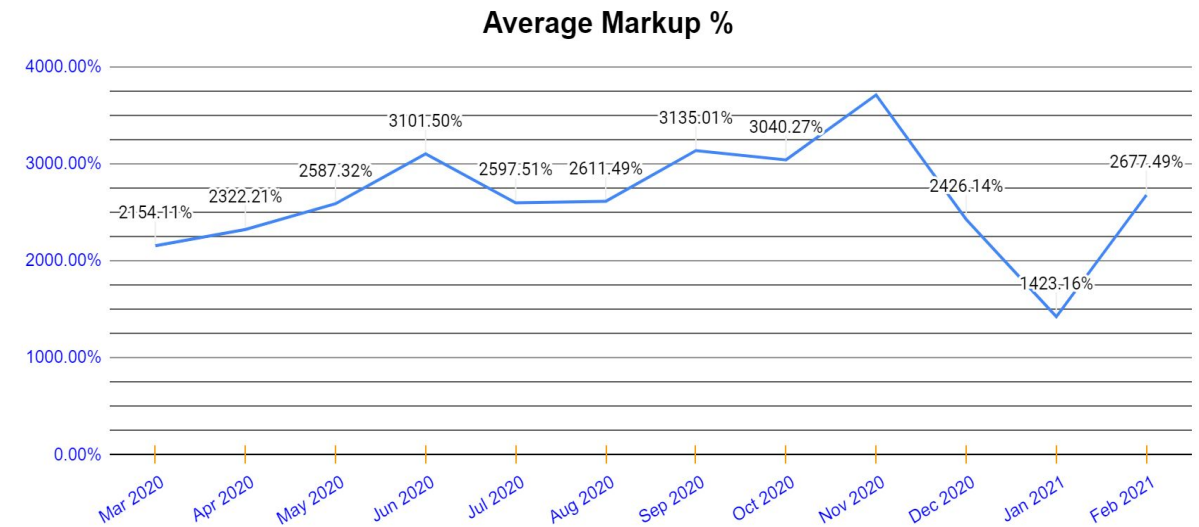


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Average Markup %

Where it relates	- Do the Job - Variable Costs - Get the Job - Activity Costs
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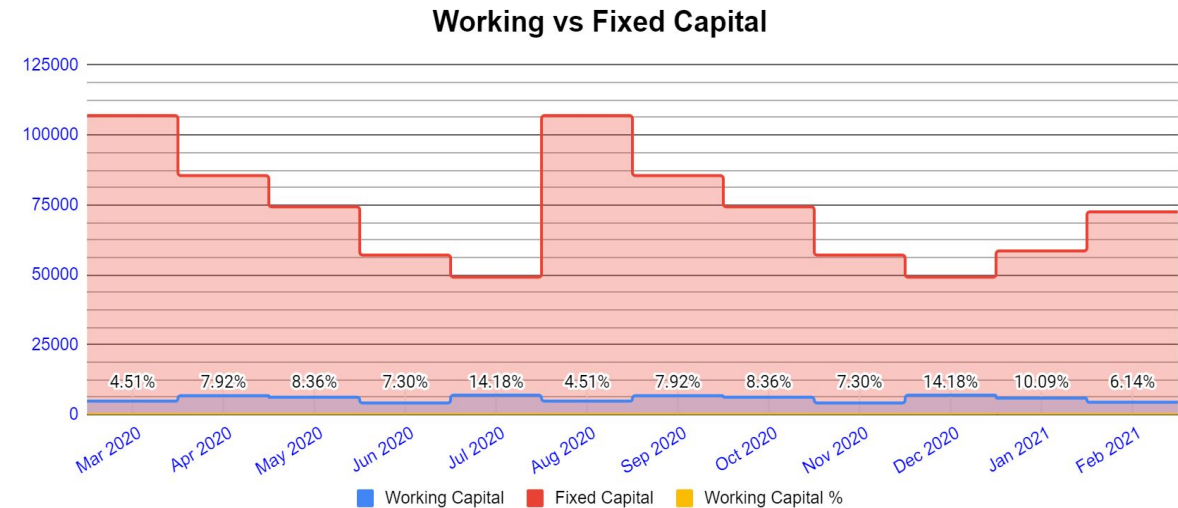
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Working vs Fixed Capital

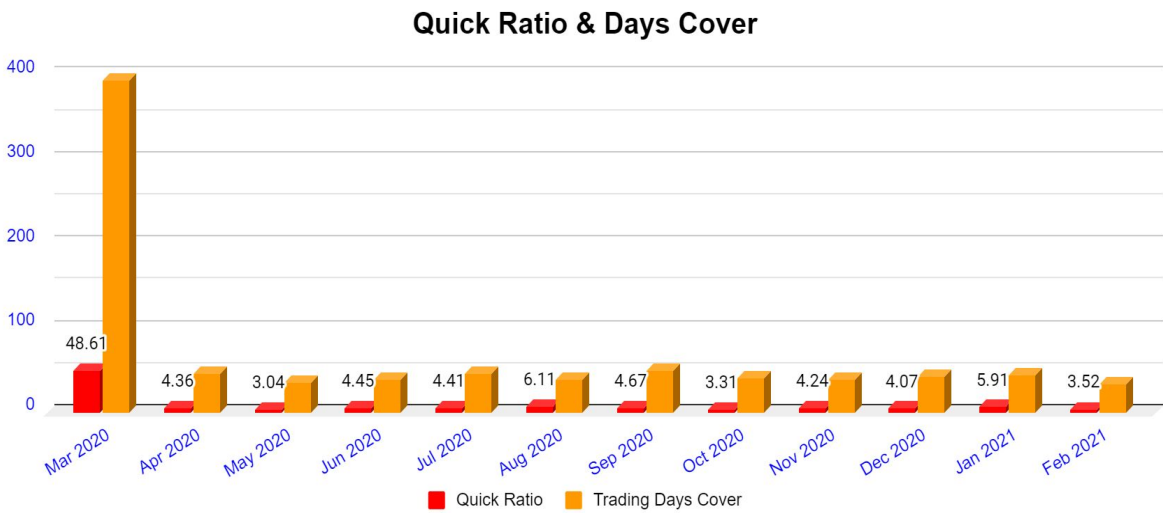
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Quick Ratio & Days_(Trading) Cover

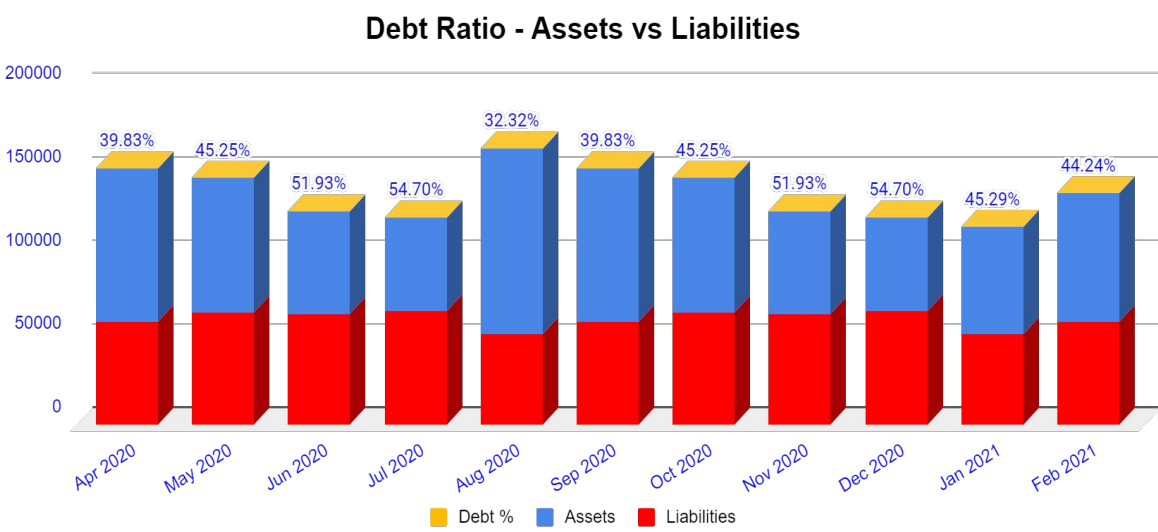
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Debt Ratio - Assets vs Liabilities

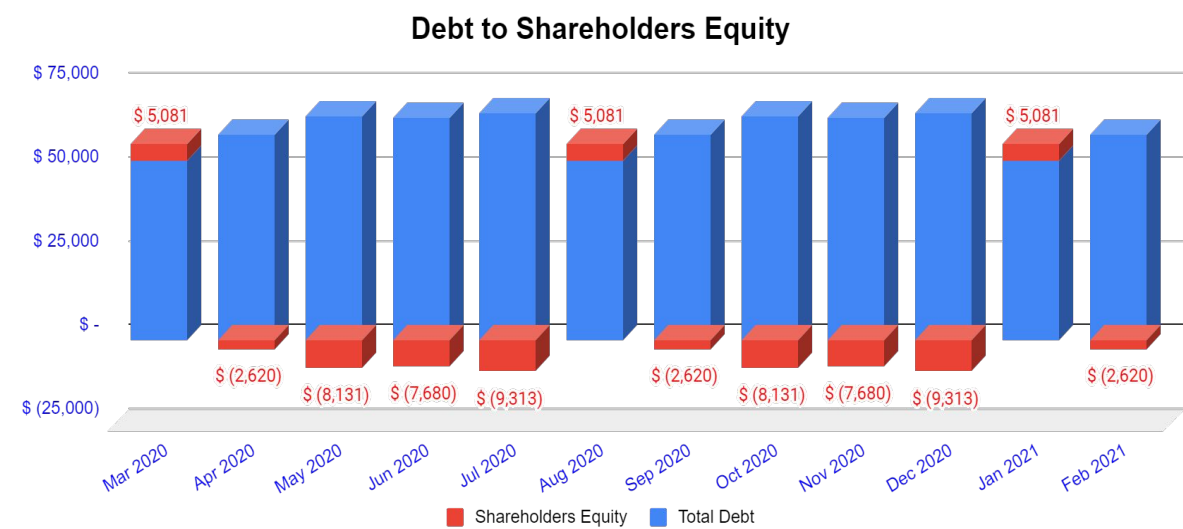
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Debt to Shareholders Equity

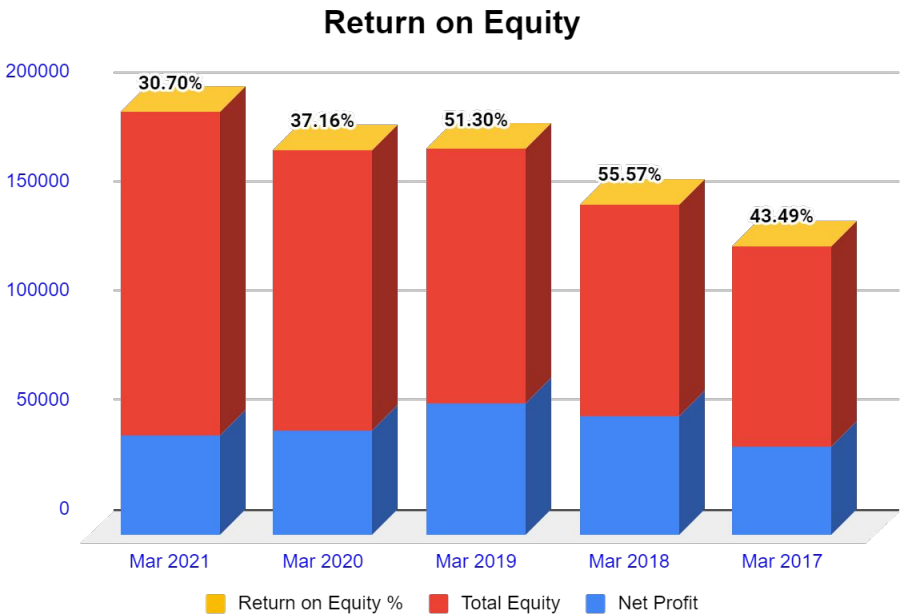
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Return on Equity

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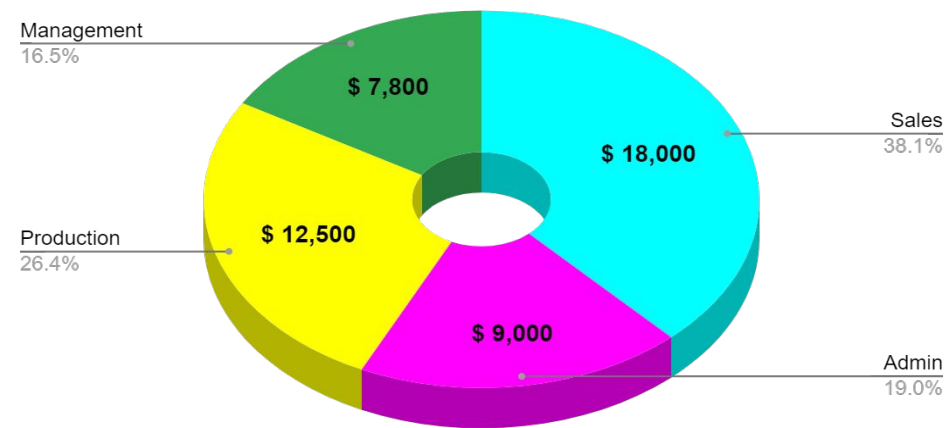
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Division Wages %

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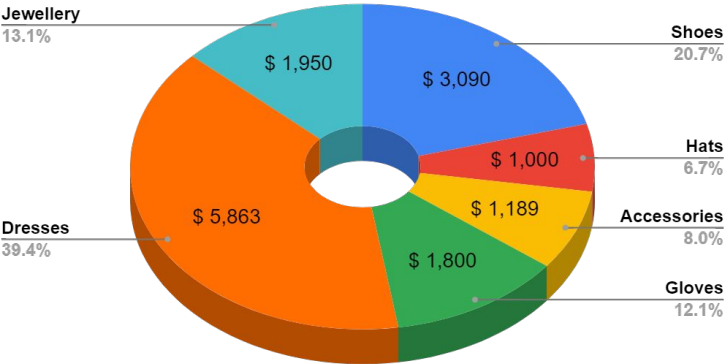
Sales Mix by Margin

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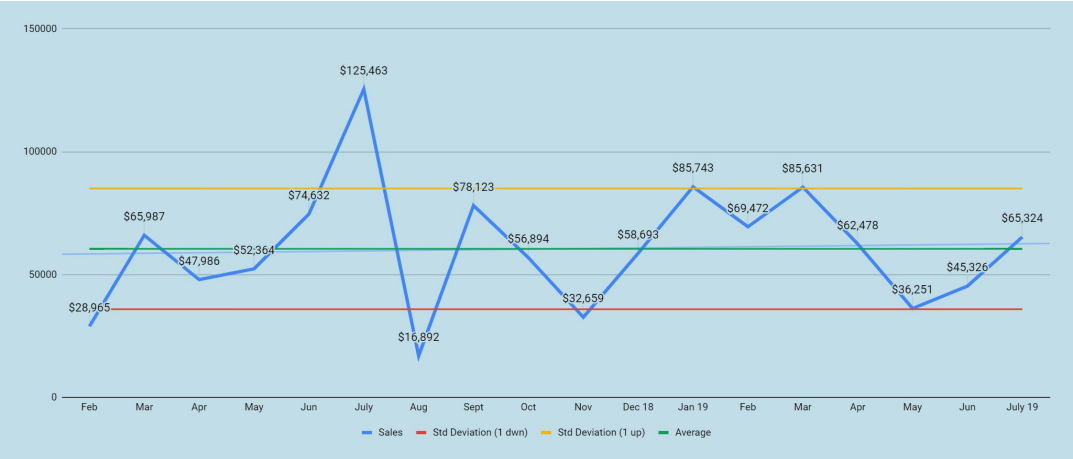


Volatility Analysis

Where it relates

- Do the Job - Variable Costs
- Get the Job - Activity Costs
- Get Organised - Fixed Costs

- 1. Common Cause: High Frequency - Low Impact . (Ex, Retail store - rainy day)
- 2. Special Cause: Low Frequency - High Impact. (Ex, Earthquake or Pandemic)
- 3. Seasonal: Predictable Patterns & Trends (Ex, Selling ice-cream in summer vs. winter)
- 4. Tampering: Data Misinterpretation & Response



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Which of the data points relate to Special or Seasonal cause?

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Notes

Type your notes here